31 July 2026

Varun Govindaraj
+1 917 344 8543
varun.govindaraj@bernsteinsg.com

Specialist Sales

Steve Song
+1 917 344 8401
steve.song@bernsteinsg.com

U.S. Multi Industry & Electrical Equipment

Vertiv Holdings Co

Rating

Outperform

Price Target

VRT **368.00 USD** (416.00 *OLD*)

VRT 2Q26 Earnings Review: Still a great stock but the halo effect is now gone. Reducing TP to $368.

Recap: Vertiv reported revenues of $3.3B in 2Q26, missing consensus of ~$3.4B, representing organic growth of approximately 18%. Adjusted diluted EPS of $1.52 beat the Street estimate of ~$1.42. Adj. op. profit of 22.6% also came in ~100 bps higher than expected. Growth was the big disappointment; VRT was down18% on the weak print.

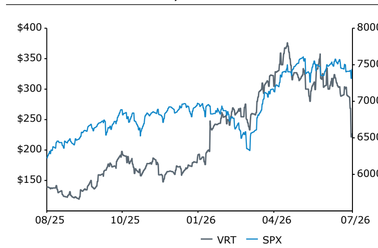
Miss on organic + supply chain concerns: In our preview, we said the bogey to beat was ~30% organic; VRT came in extremely light at 18%. Mgmt. mentioned this was related to supply chain issues, specifically for prefabricated solutions (e.g., SmartRun / OneCore). These products have more complicated supply chains, and delays in one component could lead to delays in shipping out these high value modular units. VRT needs to resolve these issues to meet a heavily back-weighted guide; we're not entirely convinced they can since we haven't heard much detail from them on the "how". It's hard to solve supply chain issues in a quarter. **800V DC lag:** Management highlighted that the SST is still in product development, while peers do seem to be much further ahead (for example, some are testing SSTs with hyperscalers). Part of the VRT premium comes from R&D excellence, and given how much importance the SST narrative has, it is not good optics for them to be behind. **Strong deferred revenues:** VRT no longer discloses quarterly orders. So investors now use deferred revenue as an indicator of orders growth (since it includes in part some deposits for new project orders). This was up quite significantly in 2Q (over $1.2B compared to what is usually a few $100M) which would imply strong orders growth coming in. However, this likely won't have a major impact in 2026 on revenues since most of these orders will likely only materialize in 2027 (assuming a 12 month conversion timeline). **While this note reads bearish, we still think VRT is a great company and a great stock.** The stock is cheap; although we do not think it will return to peak multiples. There's a loss of the halo effect it earned over the last couple of years that's hard to regain without a couple of blowout prints. We'll be keenly looking at mgmt. commentary at their next set of conferences to get confidence on the supply chain / SST issues.

Close Date	30 Jul 2026
VRT Close Price (USD)	227.50
Price Target (USD)	368.00
Upside/(Downside)	62%
52-Week Range	379.94/118.70
SPX	7,437.63
FYE	Dec
Div Yield	0.1%
Market Cap (USD) (M)	87,585
EV (USD) (M)	87,730

Performance	YTD	1M	6M	12M
Absolute (%)	40.4	(32.1)	22.2	57.8
SPX (%)	8.6	(0.8)	7.2	16.9
Relative (%)	31.8	(31.2)	15.0	40.9

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We rate VRT Outperform with a revised TP of $368. This is driven by us reducing our EV / NTM EBITDA valuation multiple to 27x (from 32x) and rolling EBITDA forward by one quarter.

Adjusted EPS	F25A	F26E	F27E
VRT (USD)	4.20	**6.60**	**9.06**
OLD	--	6.52	9.21

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	10,230	13,851	18,270	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	54.2	34.5	25.1

Source: Bloomberg, Bernstein estimates and analysis.

DETAILS

RECAP OF NUMBERS

Vertiv reported revenues of $3,274 million in 2Q26, missing consensus of ~$3,372 million, representing growth of approximately 24% year over year (18% organic) vs. $2,638 million in Q2 2025. Adjusted diluted EPS of $1.52 beat the Street estimate of ~ $1.42; this compares to $0.95 in Q2 2025. Adjusted operating profit of 22.6% also came in ~100 bps higher than expected. The revenue number was disappointing given the market is used to VRT coming in much hotter on growth. 3Q EPS guide is $1.80 at the midpoint and revenue is $3,750 at the midpoint, which does seem low given that is where consensus was at for the quarter. For the full year, mid-point of revenue guidance is up $250M to $14B, with the full year EPS guide at $6.70.

WHAT STOOD OUT TO US

Miss on organic + supply chain concerns: In our preview, we said the bogey to beat was ~30% organic; VRT was guiding the quarter to mid-20s organic but came in extremely light at 18% (largely driven by Americas). Management then mentioned this was related to supply chain concerns, which when unpacked, specifically refers to concerns on prefabricated solutions (e.g., SmartRun / OneCore) vs. point solutions. The issue was that these prefabricated products have more complicated supply chains, and delays in even one component could lead to delays in shipping out these high value modular units. Vertiv is adding capacity to address this, and commentary seems to indicate there is some leeway for things to go wrong. But there was probably leeway baked into the 2Q guide as well, and that wasn't enough. VRT is guiding 35% organic in 3Q and implied >40% in 4Q which are a big step up. Most companies with data center exposure in our coverage are back-half weighted in terms of revenue conversion, but most of them also met the 2Q number so we remain a bit more nervous on VRT's ability to perform near-term vs. other names. Commentary from the earnings call and callback did not give us confidence that the issue has an immediate solve, supply chain issues often take more than a quarter to fix.

800V DC lag: This was another area where we didn't see as much progress as we expected. Management highlighted that the SST is still under development, while peers do seem to be much further ahead (for example, some of them are already testing the SST with hyperscalers). Part of the VRT premium comes from R&D excellence, and given how much importance the SST narrative has, it is not good optics for them to be behind here. While we still think 800V DC is a 2028 ramp-up and VRT has time to develop the product, it is uncharacteristic for them to lag. They're clearly working on it, but the brevity of responses and detail on the earnings call have not helped investor sentiment on the narrative that VRT lags power-native peers in 800V DC.

Strong deferred revenues: VRT no longer discloses quarterly orders. So investors now use deferred revenue as an indicator of orders growth (since it includes in part some deposits for orders from customers along with deposits that comes in from meeting project based milestones). This was up quite significantly in 2Q (over $1.2B increase compared to 1Q when the step up is usually a few $100M each quarter) which would imply strong orders growth coming in. However, this likely won't have a major impact in 2026 on revenues since most of these orders will likely only materialize in 2027 (assuming a 12 month conversion timeline).

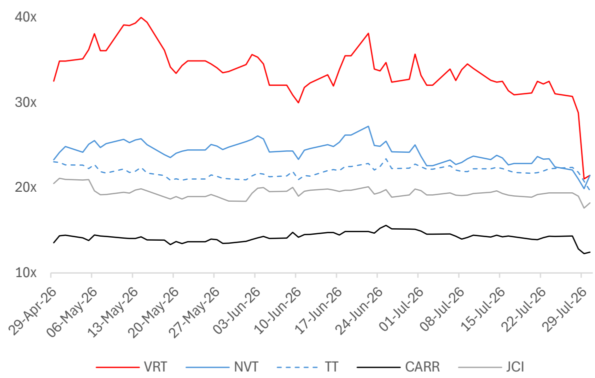
THOUGHTS ON VALUATION

Valuations are unquestionably attractive at the moment. Demand is clearly robust, so it's operational execution that needs to be fixed. Given EPS is expected to grow >60% this year, and the buyside expects earnings growth of 40%+ in FY27 and 20%+ in FY28 (sell side consensus is slighly lower in FY27 and slightly higher in FY28) it does feel like the stock has overcorrected to some extent.

With that said, we do think the peak valuation days of 55x P / E (NTM) and 40x EV / NTM EBITDA are behind us. Those multiples require flawless execution and a high degree of confidence in delivery of numbers and continued product development excellence, and Vertiv has missed on both those counts this quarter. Once bitten, twice shy as they say … and given the magnitude of the move on earnings day we would imagine some hesitance from investors to take a fresh position with far more positive sentiment on the broader AI complex.

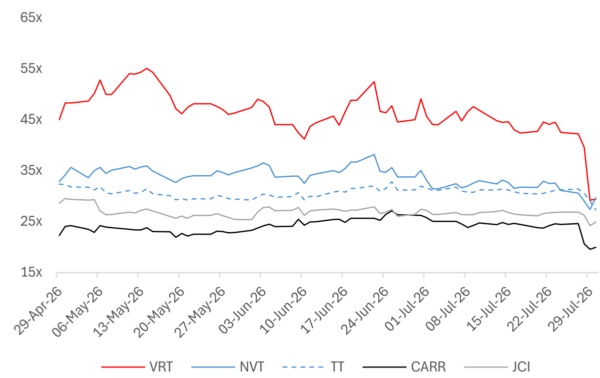
While we expect some recovery in the in the mid-term, we are also adjusting our assumptions on multiples down accordingly. We now assign a multiple of 27x to Vertiv (splitting the difference on our initial choice of multiple at 32x EV / NTM EBITDA and current multiple of 22x EV / NTM EBITDA).

EXHIBIT 1: **EV / EBITDA (NTM)**



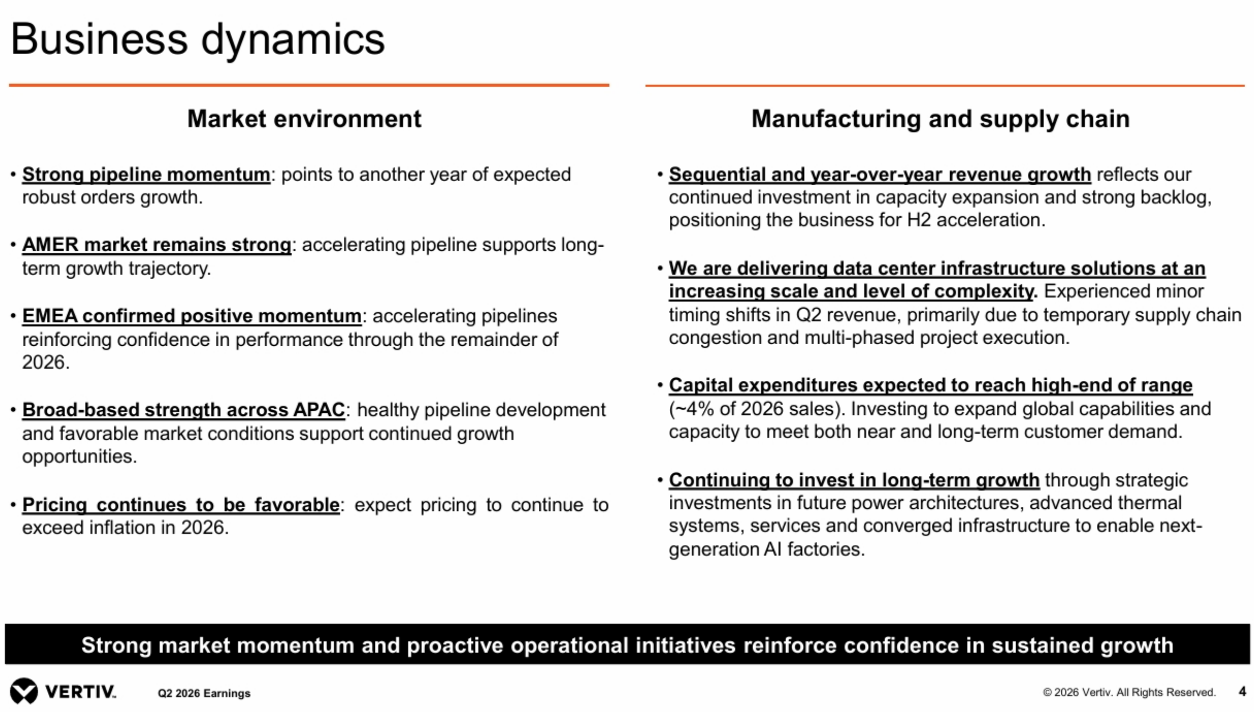
Source: Visible Alpha, Bernstein Analysis

EXHIBIT 2: **P / E (NTM)**



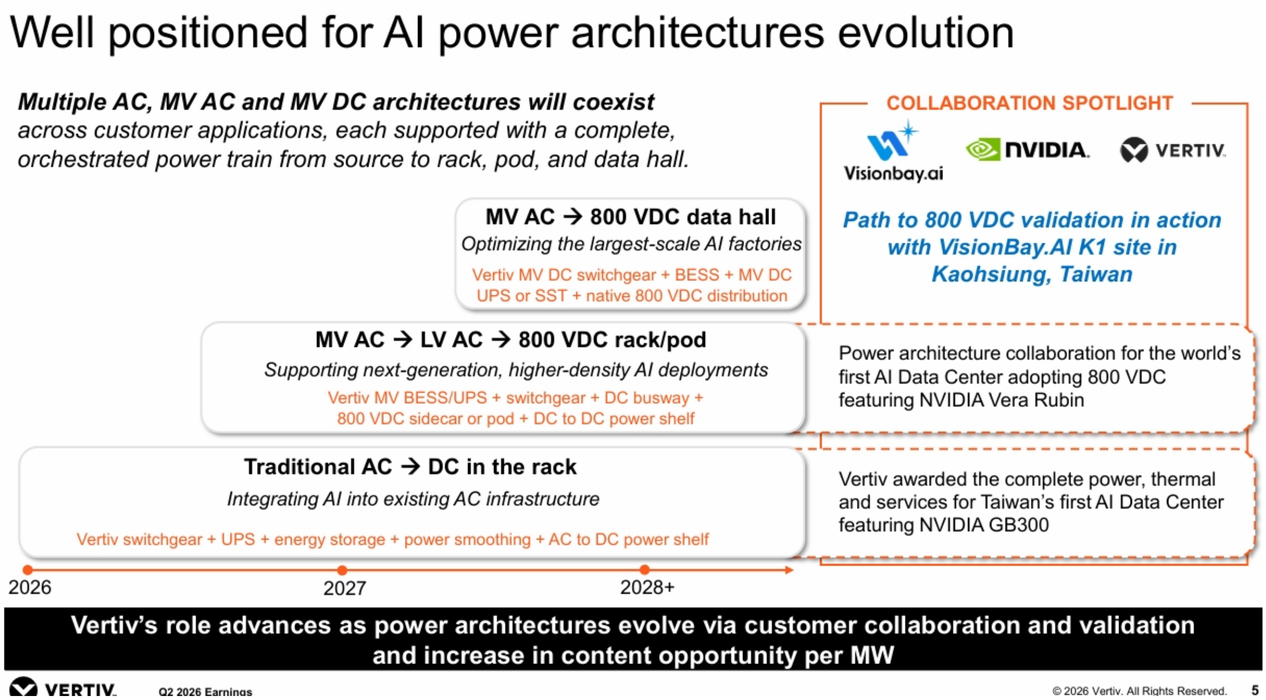
Source: Visible Alpha, Bernstein Analysis

EXHIBIT 3: **VRT business dynamics**



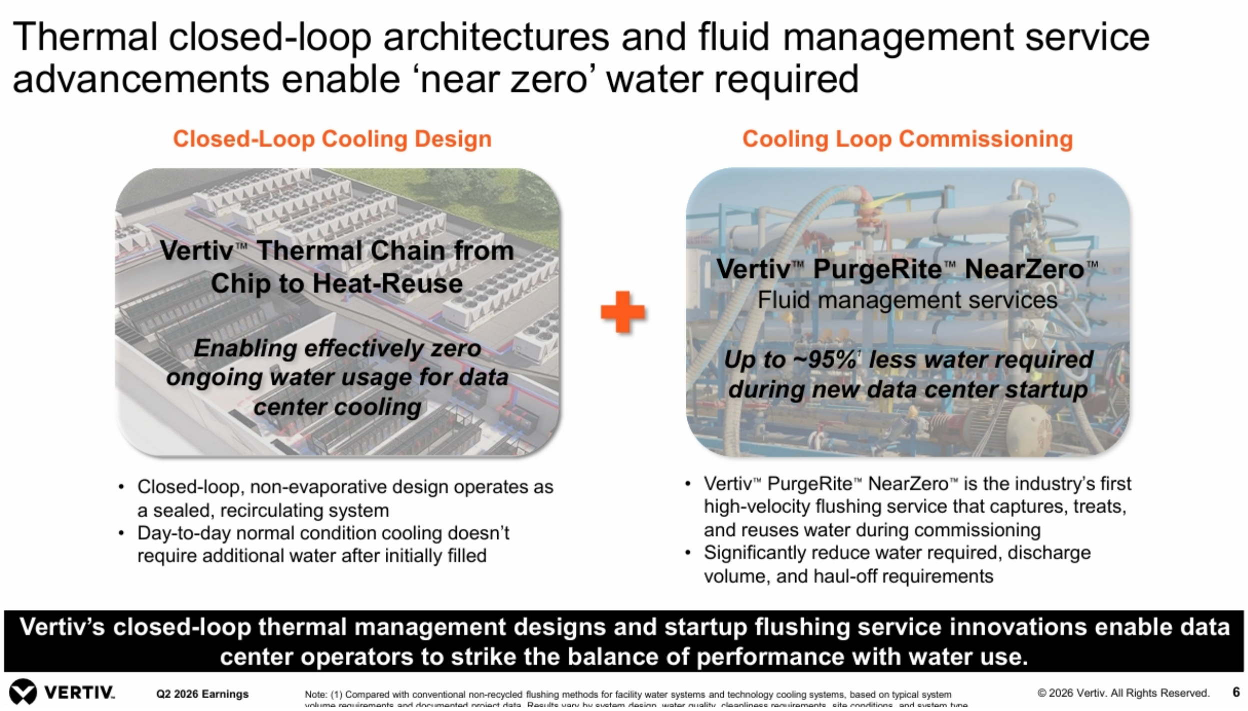
Source: Company presentation

EXHIBIT 4: **VRT AI powered architecture**



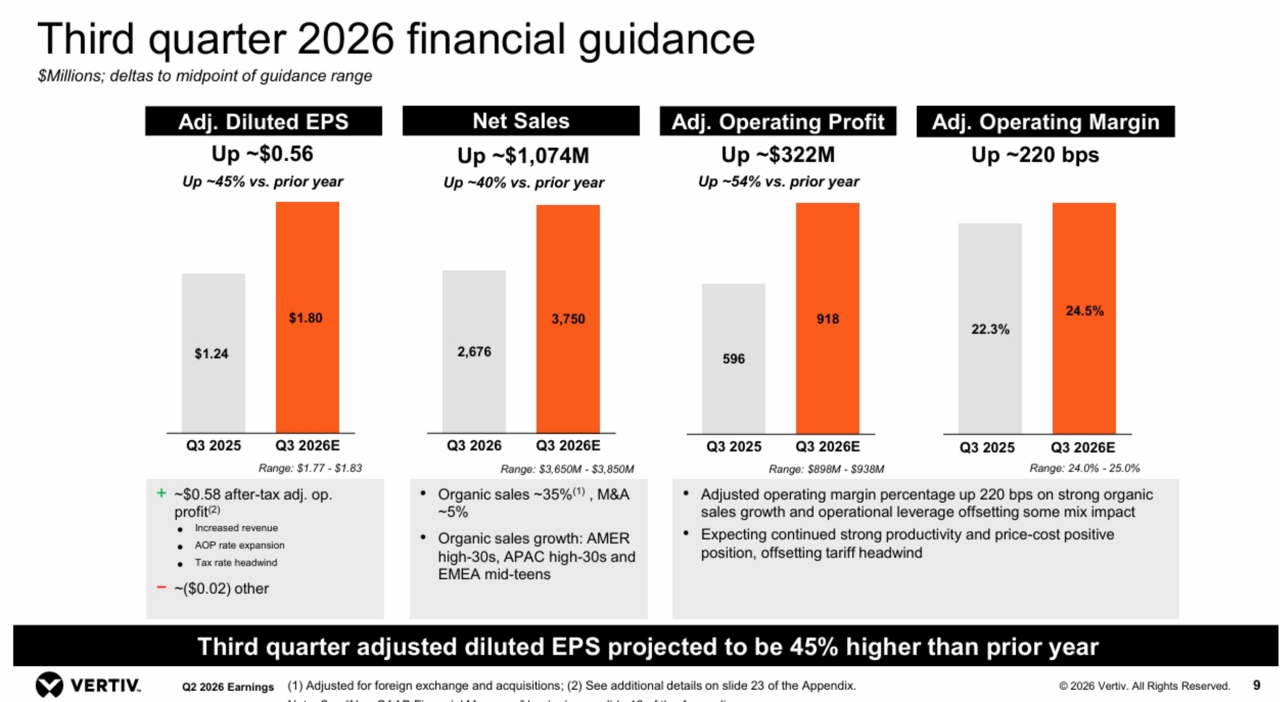
Source: Company presentation

EXHIBIT 5: **VRT cooling loop design**



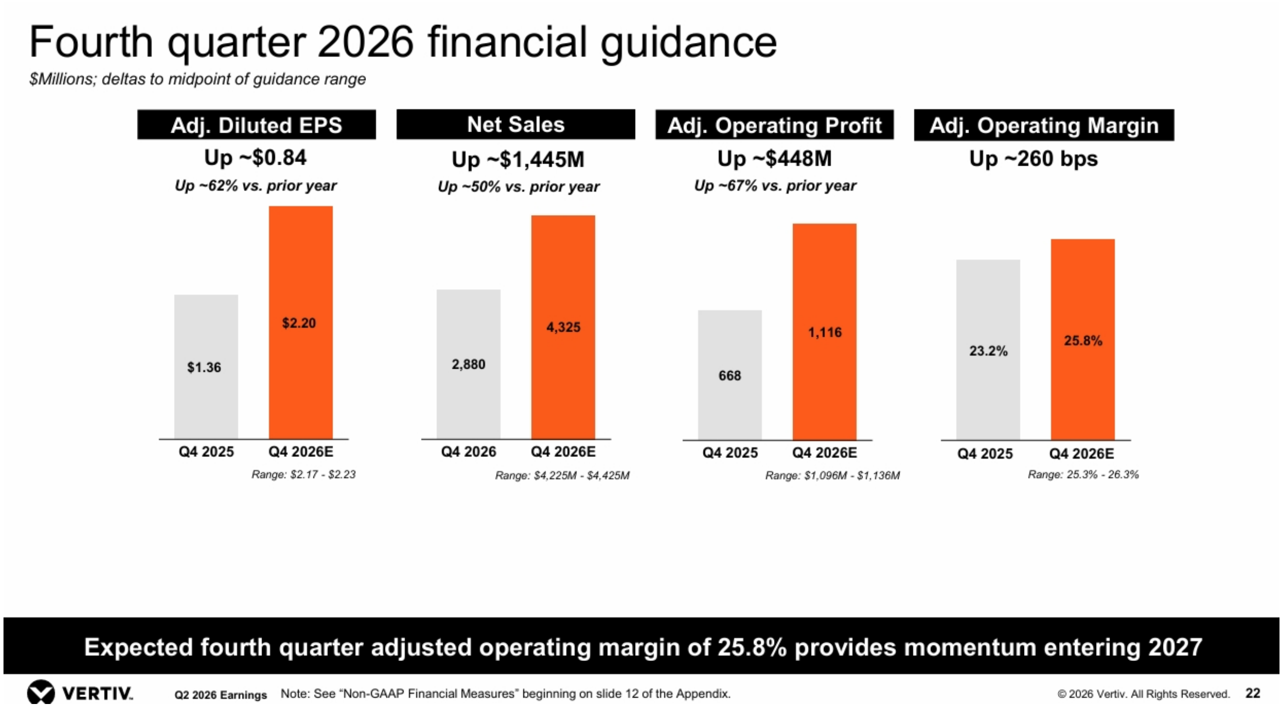
Source: Company presentation

EXHIBIT 6: **VRT 3Q 2026 guidance**



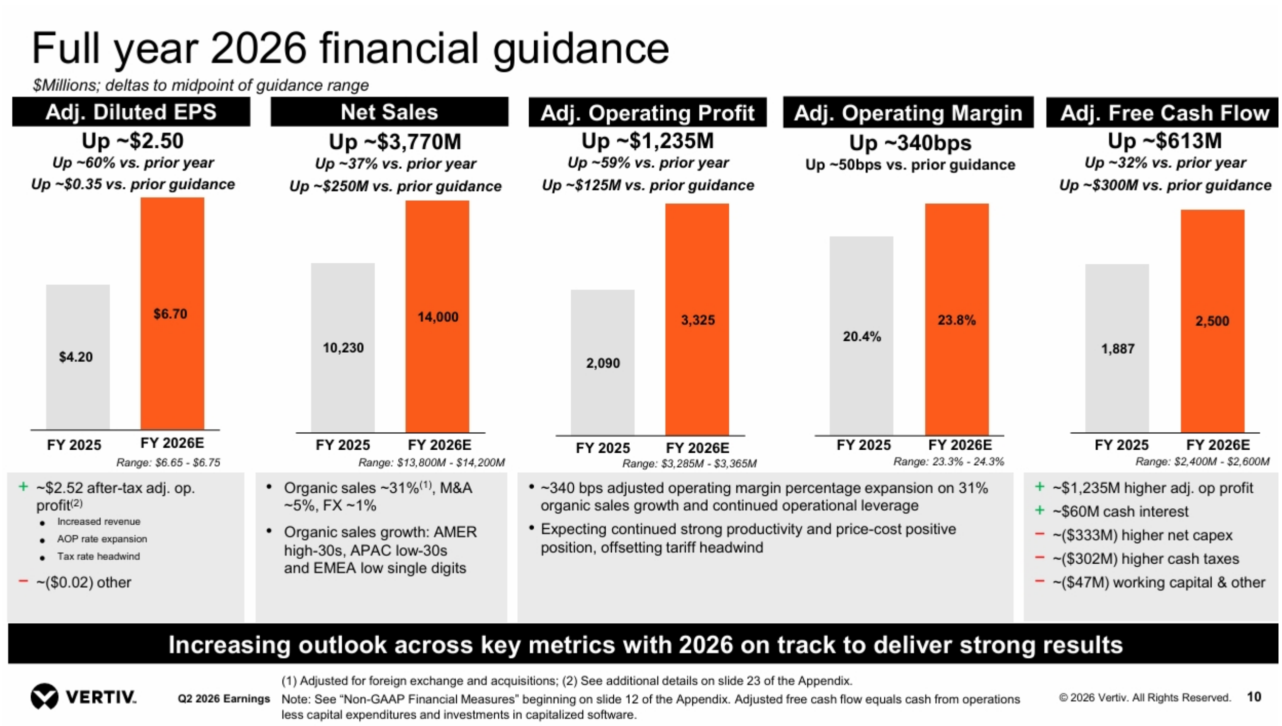
Source: Company presentation

EXHIBIT 7: **VRT 4Q 2026 guidance**



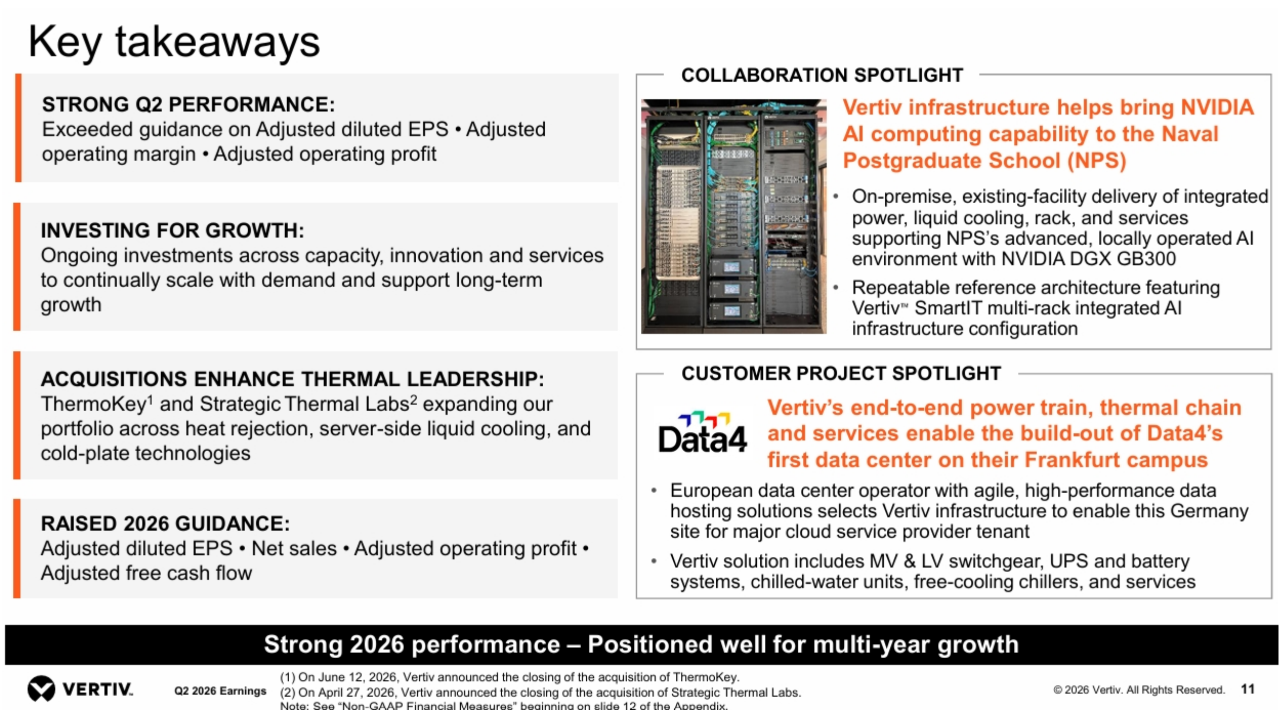
Source: Company presentation

EXHIBIT 8: **VRT FY2026 guidance**



Source: Company presentation

EXHIBIT 9: **VRT key takeaways**

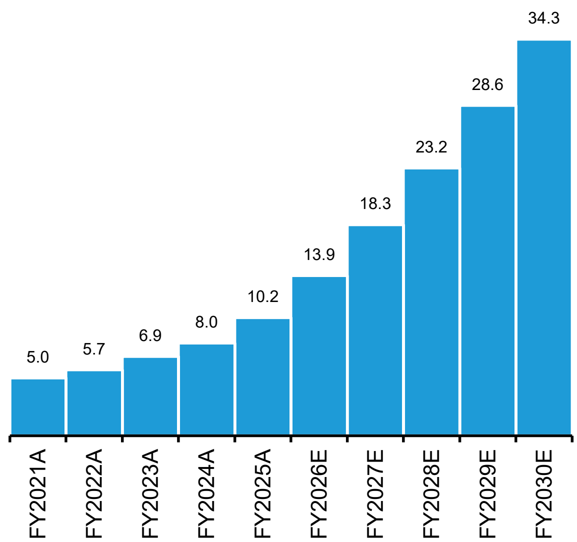


Source: Company presentation

FINANCIAL EXHIBITS

EXHIBIT 10: **VRT Revenue**

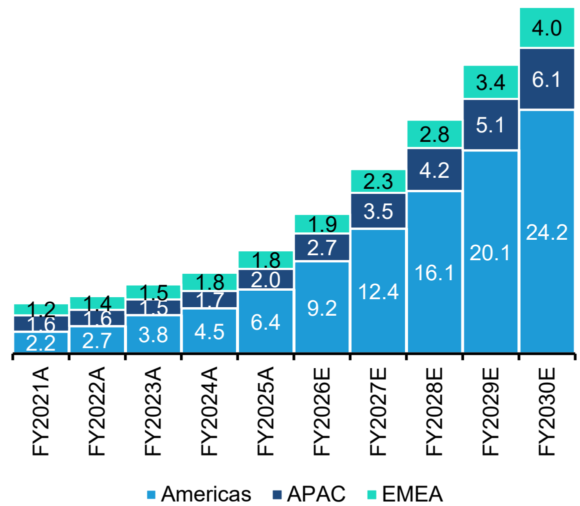
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **VRT revenue per region**

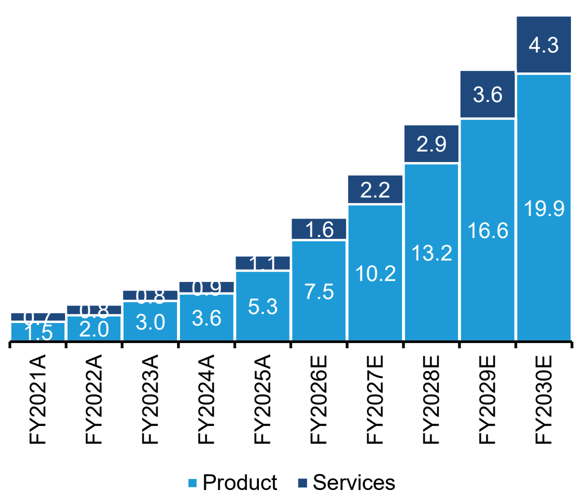
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 12: **VRT Americas Revenue per segment**

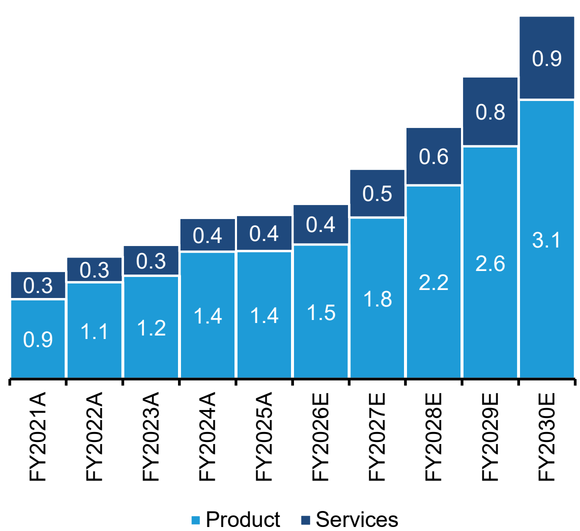
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 13: **VRT EMEA revenue per segment**

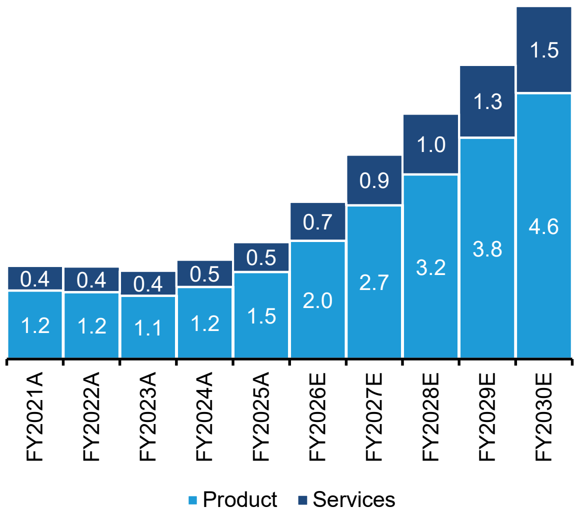
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 14: **VRT APAC revenue per segment**

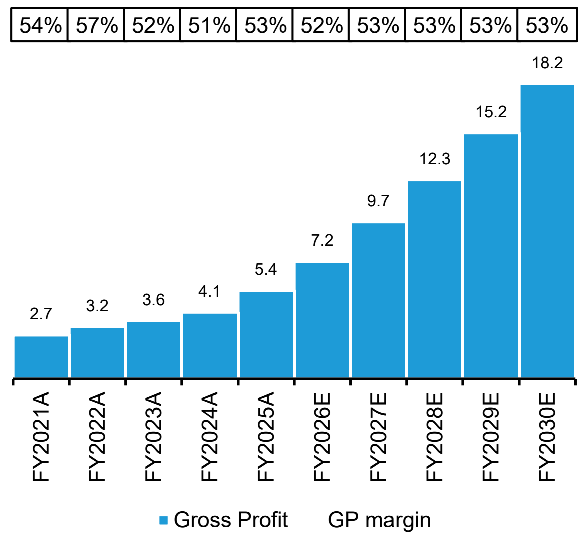
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 15: **VRT gross profit and gross profit margin %**

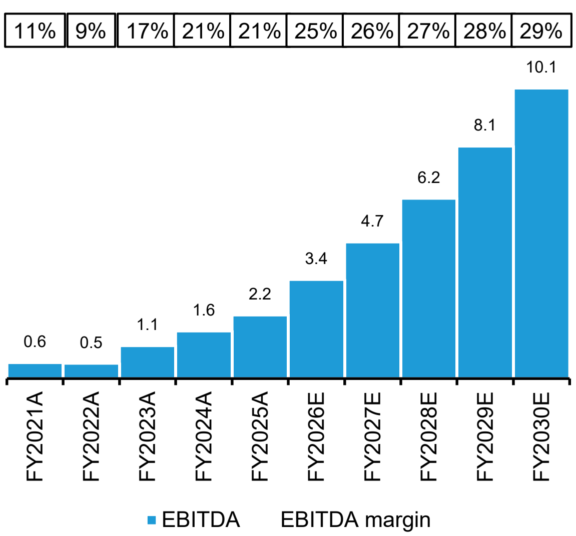
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 16: **VRT Adj.EBITDA & Adj.EBITDA margin %**

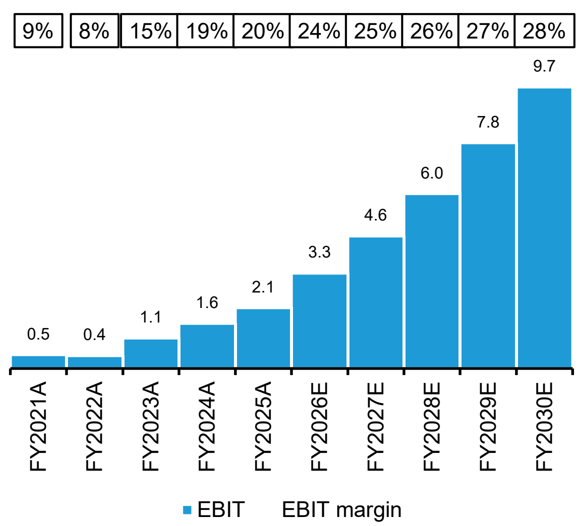
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 17: **VRT Adj.EBIT & Adj. EBIT margin**

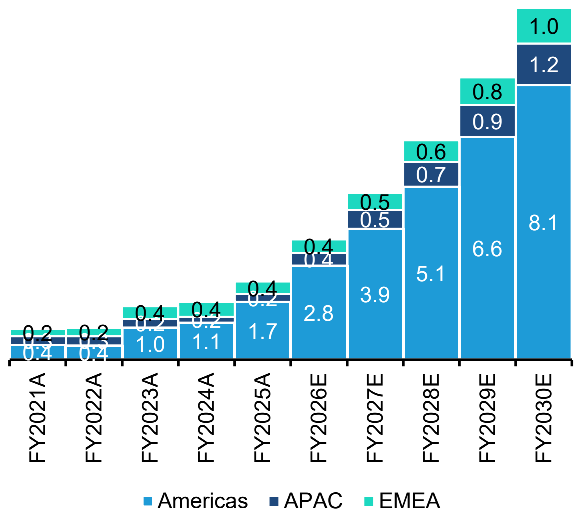
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 18: **VRT EBIT per region**

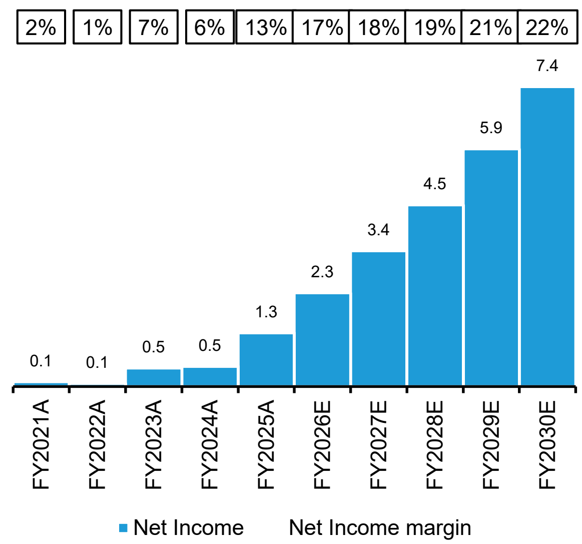
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 19: **VRT Adj. Net income & Net income margin %**

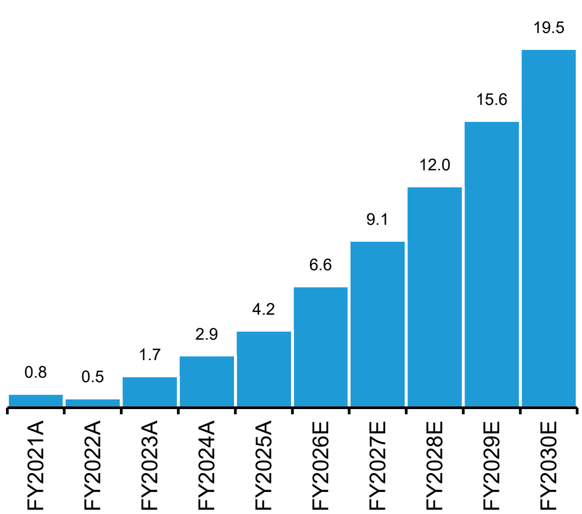
$bn



Source: Company reports, Bernstein estimates and analysis

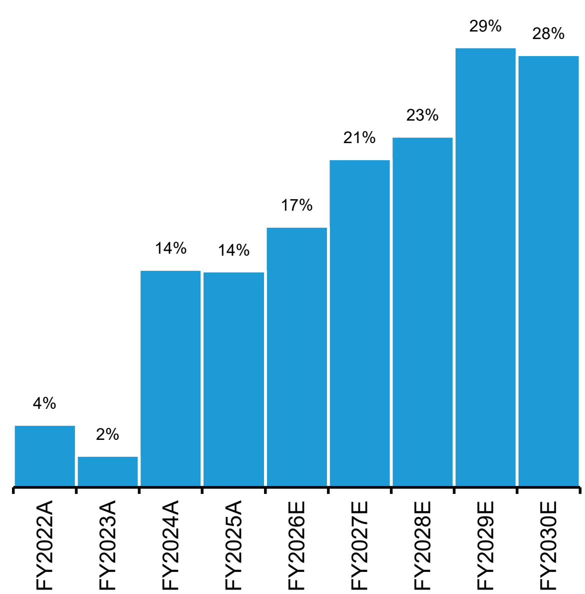
EXHIBIT 20: **VRT Adj. EPS**

$



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 21: **VRT ROIC %**



Source: Company reports, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 22: **VRT financial summary**

Income Statement (M)	**FY2021A**	**FY2022A**	**FY2023A**	**FY2024A**	**FY2025A**	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
Americas	2,188	2,729	3,845	4,501	6,386	9,182	12,396	16,115	20,144	24,172
APAC	1,609	1,601	1,528	1,718	2,019	2,720	3,536	4,243	5,092	6,110
EMEA	1,202	1,362	1,491	1,793	1,824	1,949	2,339	2,806	3,368	4,041
Total revenue	**4,998**	**5,692**	**6,863**	**8,012**	**10,230**	**13,851**	**18,270**	**23,164**	**28,603**	**34,323**
Total Gross Profit	**2,700**	**3,219**	**3,576**	**4,099**	**5,447**	**7,237**	**9,667**	**12,273**	**15,165**	**18,197**
Americas	441	426	959	1,098	1,714	2,785	3,884	5,129	6,597	8,140
APAC	253	274	249	175	222	379	550	723	944	1,225
EMEA	218	235	380	439	377	401	499	641	820	1,045
Others	(224)	(261)	(154)	279	153	130	134	178	248	358
Underlying EBIT	**471**	**439**	**1,054**	**1,552**	**2,090**	**3,293**	**4,567**	**6,030**	**7,790**	**9,723**
EBIT margin Americas	20.2%	15.6%	24.9%	24.4%	26.8%	30.3%	31.3%	31.8%	32.8%	33.7%
EBIT margin APAC	15.7%	17.1%	16.3%	10.2%	11.0%	13.9%	15.5%	17.0%	18.5%	20.0%
EBIT margin EMEA	18.1%	17.2%	25.5%	24.5%	20.7%	20.6%	21.3%	22.8%	24.3%	25.8%
Group EBIT margin	**9.4%**	**7.7%**	**15.3%**	**19.4%**	**20.4%**	**23.8%**	**25.0%**	**26.0%**	**27.2%**	**28.3%**
Net Income to shareholders	120	77	460	496	1,333	2,326	3,362	4,504	5,891	7,431
Diluted underlying EPS ($)	**0.78**	**0.53**	**1.73**	**2.86**	**4.20**	**6.60**	**9.06**	**12.01**	**15.56**	**19.45**
Diluted shares outstanding (m)	360	378	386	386	391	393	393	393	393	393

Balance Sheet (M)	**FY2021A**	**FY2022A**	**FY2023A**	**FY2024A**	**FY2025A**	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
PP&E	489	489	560	625	922	1,393	1,771	2,251	2,836	3,524
Other non-current assets	3,752	3,937	3,997	4,031	5,393	6,001	6,145	6,387	6,812	7,361
Other current assets	2,260	3,159	4,002	5,102	6,820	10,262	15,555	22,010	29,910	39,345
Cash and cash equivalents	439	261	780	1,228	1,728	2,623	5,763	9,821	15,061	21,707
Total assets	**6,940**	**7,096**	**7,999**	**9,133**	**12,212**	**16,262**	**21,700**	**28,397**	**36,722**	**46,706**
Current liabilities ex-debt	1,833	1,876	2,284	3,076	4,386	6,173	8,282	10,514	12,992	15,590
Total debt	2,972	3,191	2,941	2,928	2,913	2,940	2,940	2,940	2,940	2,940
Non current liablities ex-debt	717	587	759	694	972	961	961	961	961	961
Total equity	1,418	1,442	2,015	2,434	3,941	6,189	9,518	13,982	19,829	27,215
Total equity and liabilities	**6,940**	**7,096**	**7,999**	**9,133**	**12,212**	**16,262**	**21,700**	**28,397**	**36,722**	**46,706**
Net debt	2,533	2,930	2,161	1,701	1,185	317	(2,823)	(6,881)	(12,122)	(18,767)
Net debt/ EBITDA	4.6x	5.6x	1.9x	1.0x	0.5x	0.1x	-0.6x	-1.1x	-1.5x	-1.9x
Underlying ROIC		4%	2%	14%	14%	17%	21%	23%	29%	28%

Cash Flow Statement (M)	**FY2021A**	**FY2022A**	**FY2023A**	**FY2024A**	**FY2025A**	**FY2026E**	**FY2027E**	**FY2028E**	**FY2029E**	**FY2030E**
Underlying EBITDA	554	526	1,143	1,644	2,198	3,434	4,737	6,246	8,062	10,065
Working capital	(133)	(449)	67	114	365	(856)	(44)	(164)	(182)	(191)
Net capex	(73)	(100)	(128)	(167)	(220)	(563)	(548)	(695)	(858)	(1,030)
Other cash movements	(443)	(151)	(567)	(1,148)	(1,786)	(1,117)	(1,004)	(1,329)	(1,782)	(2,199)
Change in cash and cash equivalents	**(95)**	**(174)**	**515**	**444**	**558**	**898**	**3,141**	**4,058**	**5,240**	**6,645**

Source: Bloomberg, Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026 Closing Price	Price Target	TTM Rel. Perf.	Cur	Adjusted EPS 2025A	Adjusted EPS 2026E	Adjusted EPS 2027E	Adjusted P/E (x) 2025A	Adjusted P/E (x) 2026E	Adjusted P/E (x) 2027E
VRT (Vertiv)	O	USD	227.50	**368.00**	40.9%	USD	4.20	**6.60**	**9.06**	54.2	34.5	25.1
OLD				416.00				6.52	9.21			
SPX			7,437.63									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Vertiv Holdings Co

We value Vertiv at 27x NTM + 1 EBITDA of $5.3B to reach our target price of $368.

RISKS

Vertiv Holdings Co

Downside: (i) Efficiency increasing to the point where less cooling needed, (ii) Unexpected slowing of data center expansion, (iii) Faster than expected shift away from NVIDIA chips to custom silicon (impacts Vertiv because of strong relationships), (iv) Tech. shift away from DTC / 800 VDC if Vertiv can’t react fast enough

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

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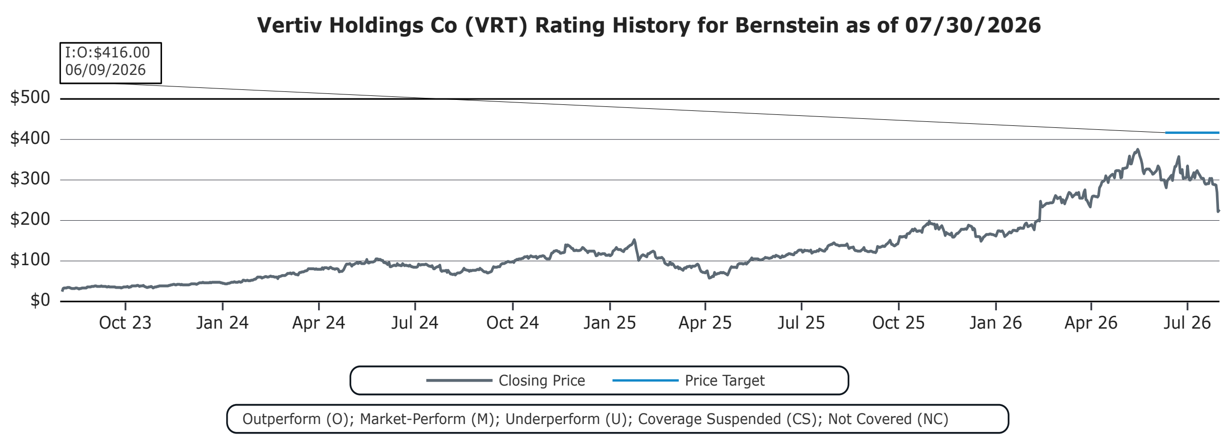

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